

Illustrating the centrality to his investment philosophy of the moat, Buffett has given over a great deal of space in his Berkshire Hathaway, Inc. Chairman's Letters to a meditation on the physiology of competitive advantages. It is the presence or absence of a competitive advantage that allows the enterprise to resist mean reversion in its business and to continue earning super-normal returns on capital. Most businesses succumb to competitive pressures, and this is why Buffett instructs the managers in his controlled businesses to "unendingly focus on moat-widening opportunities."⁴¹ He also seeks the special cases that resist mean reversion—the "economic franchise"—which he distinguishes, a little confusingly, from an ordinary "business" thus:⁴²

An economic franchise arises from a product or service that: (1) is needed or desired; (2) is thought by its customers to have no close substitute and; (3) is not subject to price regulation. The existence of all three conditions will be demonstrated by a company's ability to regularly price its product or service aggressively and thereby to earn high rates of return on capital. Moreover, franchises can tolerate mismanagement. Inept managers may diminish a franchise's profitability, but they cannot inflict mortal damage.

In contrast, "a business" earns exceptional profits only if it is the low-cost operator or if supply of its product or service is tight. Tightness in supply usually does not last long. With superior management, a company may maintain its status as a low-cost operator for a much longer time, but even then unceasingly faces the possibility of competitive attack. And a business, unlike a franchise, can be killed by poor management.

The so-called *economic franchise* is therefore a special business with unusual, naturally occurring economics that allow it to earn a naturally high return on invested capital over the course of the business cycle and to sustain that return despite the incursions of competitors. Where competition causes the return of the average business—one with a weak or no competitive advantage—to revert to the mean, franchises and first-class businesses resist mean reversion.

Most businesses over the course of a full business cycle will do no better than earn their required return. In peak earnings years they will appear to be good businesses earning a return exceeding the required return, but in trough earnings years they will look like bad businesses generating sub-normal returns. While a theoretical valuation might suggest that the decision to retain earnings or pay out dividends in a normal business—one that earns no more than its required return over the full cycle—makes no